

August 30, 2026 05:13 PM GMT

Fuyao Glass Industry Group | Asia Pacific

Risk Reward Update

WHAT'S CHANGED

- Updated Components
- EPS
- Bull Base Bear Scenarios

Risk Reward for Fuyao Glass Industry Group (600660.SS) has been updated

Reason for change

We cut Fuyao's 2026 earnings estimate by 7% as Fuyao incurred a larger-than-expected FX loss of Rmb803mn in 1H26, vs. a Rmb602mn FX gain in 1H25. That said, FX losses are a non-cash item and won't affect cash flow.

We lower Fuyao's 2027-28 earnings estimates by 1-2% to reflect a slower-than-expected ramp at its Ohio plant due to the fire, but we expect the profit ramp-up at US plants to remain unchanged over the medium term.

Therefore, we keep our price target on Fuyao unchanged.

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Fuyao Glass Industry Group (600660.SS, 600660 CG)				
China Autos & Shared Mobility China				
Stock Rating	Equal-weight			
Industry View	In-Line			
Price target	Rmb56.20			
Shr price, close (Aug 28, 2026)	Rmb57.36			
52-Week Range	Rmb74.58-47.53			
Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	3.57	3.51	4.43	5.17
Prior EPS (Rmb)**	-	3.78	4.53	5.23

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
e = Morgan Stanley Research estimates

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Risk Reward – Fuyao Glass Industry Group (600660.SS)

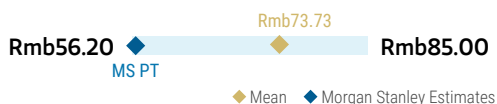
Balanced risk-reward with market share/ASP expansion offset by margin pressure

PRICE TARGET Rmb56.20

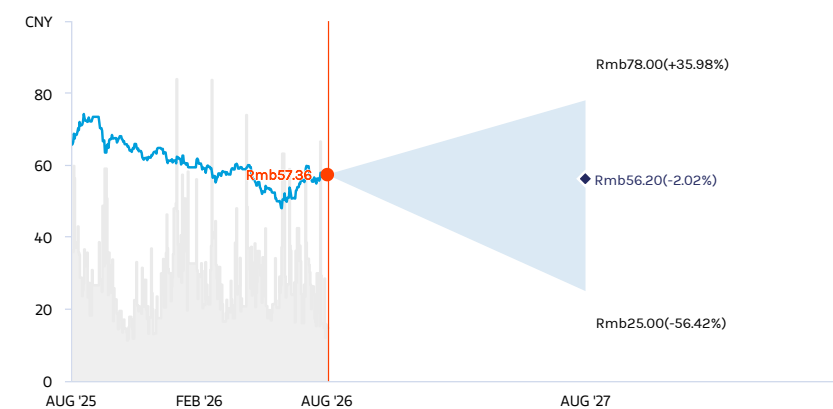
Base case, derived from DCF valuation. Our key assumptions include a 13% WACC (15.3% cost of equity and 6.3% cost of debt), an 8% medium-term growth rate, and a 3% terminal growth rate.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



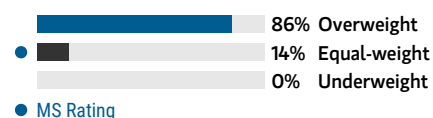
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- As the leader in China's automotive glass market with >70% revenue market share, Fuyao will likely benefit from the trend toward higher-value products.
- Fuyao should achieve further revenue expansion on an upgraded product mix, market share gains globally and new aluminium business.
- Execution remains key to meet elevated market expectations for overseas share gains and product portfolio expansion.
- Increasing rebates and headwinds from rising energy costs are likely to weigh on margins.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Electric Vehicles:	Positive
Pricing Power:	Negative
Secular Growth:	Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rmb78.00

20x 2026E bull-case EPS

Fuyao's auto glass sales outpace global auto volume growth significantly in 2026. SAM turns profitable earlier than expected. Gross margin rises notably in 2026 thanks to improving operations in overseas plants and lessening cost pressures.

BASE CASE

Rmb56.20

16x 2026E base-case EPS

Fuyao's auto glass sales continue to outpace global auto volume growth in 2026, thanks to value content upgrades and market share gains, while its US plant ramp-up and SAM consolidation stay on track. Gross margin improves slightly in 2026 thanks to tariff recovery despite higher energy costs.

BEAR CASE

Rmb25.00

10x 2026E bear-case EPS

Fuyao's auto glass sales underperform global auto volume growth in 2026, due to market share loss to new entrants. Gross margin contracts more significantly in 2026 due to falling utilization and lingering cost pressures.

Risk Reward – Fuyao Glass Industry Group (600660.SS)

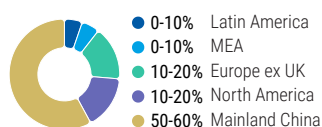
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
China revenue growth (%)	15	(4)	16	14
Overseas revenue growth (%)	19	15	15	15
Operating expense ratio (%)	15.3	15.7	14.5	13.5
Inventory days	86	86	86	86

INVESTMENT DRIVERS

- China auto sales
- Profitability improvement at new US plant with growing scale
- Progress of SAM restructuring and consolidation
- Material/energy costs trends, which make up 70%+ of the COGS in glass production

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Higher-than-expected China auto sales growth
- Acceleration in US/EU market share gains
- End to geopolitical tensions

RISKS TO DOWNSIDE

- Larger-than-expected slowdown in China auto sales
- Delay in its US plant ramp-up
- Increase in energy/materials costs

OWNERSHIP POSITIONING

Inst. Owners, % Active **94.2%**

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (Rmb, mn) **47,896.2**
47,169.8 **50,505.0** 52,846.0

EBITDA (Rmb, mn) **14,192**
12,926.0 **14,302.7** 15,079.0

Net income (Rmb, mn) **9,158**
8,707.0 **9,986.4** 11,358.3

EPS (Rmb) **3.5**
3.3 **3.8** 4.3

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of July 31, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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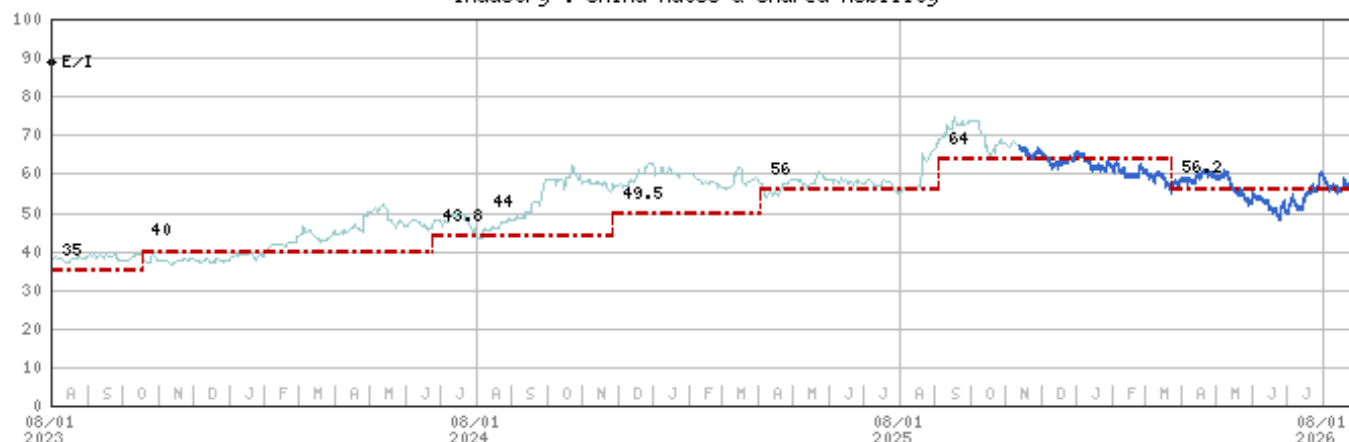
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Stock Price, Price Target and Rating History (See Rating Definitions)

Fuyao Glass Industry Group (600660.SS) - As of 08/30/26 GMT in CNY
Industry : China Autos & Shared Mobility



Stock Rating History: 8/1/21 : E/C; 9/1/21 : E/A; 8/25/22 : E/I

Price Target History: 1/15/21 : 52; 3/21/22 : 34; 8/25/22 : 35; 10/18/23 : 40; 6/25/24 : 43.8; 8/8/24 : 44; 11/27/24 : 49.5; 4/3/25 : 56; 9/4/25 : 64; 3/23/26 : 56.2

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
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Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
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INDUSTRY COVERAGE: China Autos & Shared Mobility

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/28/2026)
Joey Xu, CFA		
Anhui Jianghuai Automobile (600418.SS)	E (08/19/2023)	Rmb21.04
BAIC Motor (1958.HK)	E (10/02/2025)	HK\$0.82
Brilliance China Automotive (1114.HK)	E (03/31/2025)	HK\$2.44
Chongqing Changan Automobile (000625.SZ)	E (03/03/2026)	Rmb7.10
Guangzhou Automobile Group (601238.SS)	U (10/23/2019)	Rmb5.36
Guangzhou Automobile Group (2238.HK)	O (05/05/2020)	HK\$2.25
Huayu Automotive (600741.SS)	O (09/08/2020)	Rmb15.39
Jiangsu Changshu Automotive Trim Group (603035.SS)	E (08/14/2023)	Rmb11.41
Ningbo Huaxiang Electronic Co., Ltd. (002048.SZ)	E (05/05/2026)	Rmb18.86
SAIC Motor Corp. Ltd. (600104.SS)	O (11/25/2021)	Rmb10.34
Voyah Automotive Technology Co. Ltd. (7489.HK)	O (03/31/2026)	HK\$2.59
Zhengzhou Yutong Bus Co (600066.SS)	E (09/22/2023)	Rmb30.06
Shelley Wang, CFA		
Beijing Jingwei Hirain Technologies (688326.SS)	U (09/27/2024)	Rmb62.70
Bethel Automotive Safety Systems Co Ltd (603596.SS)	O (12/11/2023)	Rmb28.00
Changzhou Xingyu Automotive Lighting Sys (601799.SS)	O (09/27/2024)	Rmb81.48
China MeiDong Auto Holdings Ltd (1268.HK)	U (07/10/2026)	HK\$0.40
China Yongda Automobiles Services (3669.HK)	U (07/10/2026)	HK\$0.84
Foryou Corporation (002906.SZ)	O (03/06/2024)	Rmb26.76
Fuyao Glass Industry Group (600660.SS)	E (12/01/2016)	Rmb57.36
Fuyao Glass Industry Group (3606.HK)	E (12/01/2016)	HK\$55.25
Huizhou Desay SV Automotive Co Ltd (002920.SZ)	O (02/28/2025)	Rmb87.90
Keboda (603786.SS)	O (01/17/2024)	Rmb38.63
Minth Group Limited (0425.HK)	O (08/24/2015)	HK\$26.86
NavInfo Co Ltd (002405.SZ)	U (03/06/2024)	Rmb6.39
Nexteer Automotive Group (1316.HK)	E (02/28/2025)	HK\$5.10
Ningbo Joyson Electronic Corp (600699.SS)	E (03/11/2026)	Rmb19.01

Ningbo Tuopu Group Co Ltd (601689.SS)	E (11/12/2025)	Rmb47.09
Ningbo Xusheng Group Co Ltd (603305.SS)	E (06/18/2025)	Rmb11.32
Suzhou Recodeal Interconnect System (688800.SS)	O (07/02/2026)	Rmb64.78
TUHU Car Inc (9690.HK)	O (07/29/2024)	HK\$12.45
Zhejiang Sanhua Intelligent Controls (002050.SZ)	E (11/12/2025)	Rmb36.17
Zhongsheng Group Holdings (0881.HK)	E (07/10/2026)	HK\$4.12
Tim Hsiao		
BAIC BluePark New Energy (600733.SS)	U (08/07/2024)	Rmb5.14
BYD Company Limited (002594.SZ)	O (04/14/2025)	Rmb92.32
BYD Company Limited (1211.HK)	O (04/14/2025)	HK\$91.95
EHang Holdings Ltd (EH.O)	O (03/13/2025)	US\$4.51
Geely Automobile Holdings (0175.HK)	O (06/26/2024)	HK\$18.08
Great Wall Motor Company Limited (601633.SS)	U (03/16/2022)	Rmb15.32
Great Wall Motor Company Limited (2333.HK)	E (01/08/2024)	HK\$7.97
Hesai Group (HSAI.O)	O (07/28/2025)	US\$17.42
Horizon Robotics (9660.HK)	O (12/02/2024)	HK\$4.75
Li Auto Inc. (LI.O)	O (08/24/2020)	US\$12.23
Li Auto Inc. (2015.HK)	O (11/16/2021)	HK\$47.98
NIO Inc. (9866.HK)	O (10/03/2022)	HK\$34.00
NIO Inc. (NIO.N)	O (08/26/2020)	US\$4.37
WeRide Inc (WRD.O)	O (11/19/2024)	US\$6.05
XPeng Inc. (9868.HK)	O (11/16/2021)	HK\$44.82
XPeng Inc. (XPEV.N)	O (01/29/2021)	US\$11.53

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* Historical prices are not split adjusted.